

Shafi Ahmad v. Paschimanchal Vidyut Vitran Nigam Ltd. & Another

High Court of Judicature at Allahabad · Division Bench · 13 March 2019 (final judgment, per Hon'ble Pankaj Kumar Jaiswal, J. and Hon'ble Dr. Yogendra Kumar Srivastava, J.; interlocutory orders in 2013 by other Benches) · Writ-C No. 4870 of 2013 · **Writ petition dismissed, no costs. The petitioner challenged the order dated 24.5.2012 (respondent no.2) rejecting his application for restoration of his disconnected supply, and sought a mandamus to restore the connection without insisting on payment of the assessed amount. His premises (an ice factory) had been raided and theft of electrical energy detected (direct connection through the changeover switch); a provisional assessment of Rs.5,50,935 was served under Clause 8.1 of the U.P. Electricity Supply Code, 2005 and the supply disconnected, and a final assessment followed. His earlier writ against the assessment (Writ-C No. 44825 of 2009) had been dismissed on the ground of the alternative remedy of a Section 127 appeal, which he never filed; nor did he deposit the assessed amount or the compounding amount. He was prosecuted under Section 135 of the Electricity Act, 2003 and acquitted in the Sessions Trial, but the licensee's appeal against the acquittal (Criminal Misc. Appeal No. 55 of 2012) was pending. The Division Bench held that the proviso to Section 8.2 of the Code (withdrawal of the theft assessment and restoration of the connection on a court's decision that theft is not established) did not assist the petitioner, because his acquittal was under challenge in the pending appeal — a continuity of the original proceedings — so it could not be said that theft was not established; that the unappealed assessment had attained finality; and that, unless the petitioner deposited the assessed amount or his acquittal was affirmed by the High Court/Supreme Court, he was not entitled to restoration. Respondent no.2 had rightly rejected the prayer for restoration.**

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HEADNOTE

The proviso to Section 8.2 of the U.P. Electricity Supply Code, 2005 requires withdrawal of a theft assessment and restoration of the connection only on a court's decision that theft is not established; a criminal acquittal that is under challenge in the licensee's pending appeal is not such a decision, the appeal being a continuity of the original proceedings, so restoration cannot be claimed on that basis. The petitioner's ice-factory premises were raided and theft of electricity detected; a provisional assessment of Rs.5,50,935 was served under Clause 8.1 of the Code and the supply disconnected, and a final assessment was passed. His earlier writ against the assessment (Writ-C No. 44825 of 2009) was dismissed for the alternative remedy of a Section 127 appeal, which he never filed, nor did he deposit the assessed amount. Prosecuted under Section 135 of the Electricity Act, 2003, he was acquitted in the Sessions Trial, but the licensee appealed the acquittal (Criminal Misc. Appeal No. 55 of 2012, pending). Seeking restoration on the strength of his acquittal, and relying on sub-clauses (f), (g) and (h) of the proviso to Section 8.2 and on several authorities, he filed this petition. The Division Bench dismissed it. Sub-clauses (g) and (h) make the final theft assessment subject to the court's adjudication and require withdrawal and restoration only where the court decides that theft is not established; here the acquittal was under a pending appeal — a continuity of the original proceedings — so until that appeal was decided it could not be said that theft was not established, and the petitioner got no benefit from the proviso. The cited decisions were distinguishable. Moreover, the assessment had attained finality for want of a Section 127 appeal, a case of unauthorised use having been found; unless the petitioner deposited the assessed amount or his acquittal was affirmed by the higher court, he was not entitled to restoration, which respondent no.2 had rightly refused.

FACTUAL SUMMARY

The petitioner, Shafi Ahmad, ran an ice factory. On a surprise raid by a team of Paschimanchal Vidyut Vitran Nigam Ltd., theft of electrical energy was detected — the supply having been directly connected through the main changeover switch — and videography and a detailed panchnama were prepared; an FIR was lodged on 18.10.2007 (P.S. Katghar, Moradabad, criminal case no. 1630 of 2007) under Section 135(12) of the Electricity Act, 2003. On 16.3.2008 a provisional assessment bill of Rs.5,50,935 was served under Clause 8.1 of the U.P. Electricity Supply Code, 2005, the petitioner was directed to reply, and the supply was disconnected. Aggrieved by the assessment order dated 4.8.2009, the petitioner filed Writ-C No. 44825 of 2009, which a co-ordinate Bench dismissed on 2.9.2009 on the ground of the alternative remedy of a Section 127 appeal, observing that he was a regular consumer running an ice factory and the assessment was not so high that a 50% pre-deposit would deter an appeal. The petitioner neither filed the appeal nor deposited 50% of the assessed amount, and a final assessment order was passed; he also refused to deposit the compounding amount. In the Sessions Trial (No. 93 of 2008) he was acquitted of the theft charge, but the respondents challenged the acquittal in Criminal Misc. Appeal No. 55 of 2012, which remained pending. The petitioner applied for restoration of supply on the strength of the acquittal; his writ (Writ-C No. 6050 of 2012) led to a direction (6.2.2012) that respondent no.2 decide the application, and respondent no.2 rejected restoration (order dated

24.5.2012) unless the demand was paid. By the present writ petition the petitioner challenged that rejection and sought restoration without payment. The Division Bench (Hon'ble Pankaj Kumar Jaiswal, J. and Hon'ble Dr. Yogendra Kumar Srivastava, J.), by judgment dated 13.3.2019, dismissed the petition.

REUSABLE CONSTRUCTIONS

1. Under the proviso to Section 8.2 of the U.P. Electricity Supply Code, 2005, a licensee's final theft assessment is subject to the court's adjudication, and the assessment is to be withdrawn and the connection restored only where the court decides that theft is not established. ¶ ¶ 8
2. A criminal acquittal on a theft charge that is under challenge in a pending appeal by the licensee is not a decision of the court that theft is not established; the appeal being a continuity of the original proceedings, the consumer cannot invoke the Section 8.2 proviso to have the assessment withdrawn and the connection restored until the appeal is finally decided. ¶ ¶ 9
3. An assessment not challenged by a Section 127 appeal attains finality; restoration of a disconnected supply is then conditional on the consumer depositing the assessed amount (or his acquittal being affirmed by the higher court). ¶ ¶ 10

HOLDING-UNITS

INTERPLAY · UP-2005::8.2

RATIO

The Section 8.2 proviso benefit (withdrawal of the theft assessment and restoration on a court's decision that theft is not established) is unavailable where the acquittal is under challenge in a pending appeal, which is a continuity of the original proceedings

QUESTION

Does a consumer's criminal acquittal on a theft charge, while the licensee's appeal against that acquittal is pending, entitle him under the proviso to Section 8.2 of the Supply Code to withdrawal of the theft assessment and restoration of his connection?

HOLDING

No. Sub-clauses (g) and (h) of the proviso to Section 8.2 make the licensee's final theft assessment subject to the court's adjudication and require the assessment to be withdrawn and the connection restored only in case of the decision of the court that theft is not established. Here the petitioner's acquittal in the Sessions Trial was under challenge in the respondents' pending appeal (Criminal Misc. Appeal No. 55 of 2012), which is a continuity of the original proceedings; until it is finally decided, it cannot be said that the case of theft is not established. The petitioner therefore got no help from sub-clauses (f),(g),(h) of the proviso to Section 8.2, and the decisions he cited were distinguishable on facts. ¶ ¶ 8-9

EVIDENCE “The final assessment done by the licensees assessing officer in case of theft, is also subject to adjudication by the court” ¶ ¶ 8

EVIDENCE “the charges levelled and assessment made by the licensee against the consumer or person shall be withdrawn in writing and the connection shall be restored through the original meter” ¶ ¶ 8

EVIDENCE “till the matter is decided finally it cannot be said that the case of theft of electricity is not established. The appeal is nothing but it is continuity of original proceedings and thus petitioner will not get any help from the Sub-clause (f), (g) and (h) of the proviso to Section 8.2” ¶ ¶ 9

FLAG Judgment with numbered paragraphs (pin_basis=paragraph). The judgment reproduces sub-clauses (f),(g),(h) of the proviso to Section 8.2; the corpus keys the acquittal-withdrawal rule within this Section 8.2 family (also seen numbered as Clause 8.2(x)).

INTERPLAY · EA2003::127

RATIO

An assessment not challenged by a Section 127 appeal attains finality; restoration of supply is then conditional on payment of the assessed amount, or affirmation of the acquittal by the higher court

QUESTION

Is a consumer whose assessment attained finality for want of a Section 127 appeal entitled to restoration of supply without paying the assessed amount, pending his (appealed) acquittal?

HOLDING

No. Despite being relegated to the Section 127 appeal remedy — his earlier writ against the assessment having been dismissed on that ground — the petitioner never challenged the assessment order in appeal, so it attained finality; a case of unauthorised use of electrical energy to run the ice factory had been found on inspection. Unless the petitioner deposits the assessed amount, or his acquittal is affirmed by the High Court or the Supreme Court, he is not entitled to restoration of supply; respondent no.2 had rightly rejected his prayer, and the writ petition was dismissed. ¶ ¶ 9-11

EVIDENCE “In spite of the order of this Court, petitioner never challenged the assessment order in appeal and, therefore, the same has attained finality” ¶ ¶ 10

EVIDENCE “Unless and until he deposits the amount of assessment or his acquittal is affirmed by this Court/Supreme Court he is not entitled for restoration of electric supply” ¶ ¶ 10

FLAG The petitioner's earlier writ against the assessment (Writ-C No. 44825 of 2009, referred to as 4485 of 2009 in ¶ 9) was dismissed for the alternative remedy of a Section 127 appeal, which he never filed.

PRINCIPLE TAGS

clause-8.2x-acquittal-requires-withdrawal-of-theft-assessment The acquittal-based withdrawal-and-restoration under the proviso to Section 8.2 did not apply because the acquittal was under challenge in the licensee's pending appeal; until that appeal is decided it cannot be said that theft is not established. Lead authorities: *Kunwar Sarvesh Kumar Singh v. Paschimanchal Vidyut Vitran Nigam Ltd.* [SCJ-121]. ¶ ¶ 8-9

acquittal-under-appeal-is-not-a-final-decision-that-theft-is-not-established The licensee's pending appeal against the acquittal, being a continuity of the original proceedings, means theft is not yet negated; the Section 8.2 restoration benefit is deferred until the appeal is finally decided. ¶ ¶ 9

unappealed-assessment-attains-finality-restoration-conditional-on-payment The assessment attained finality for want of a Section 127 appeal; restoration was refused unless the assessed amount was deposited or the acquittal affirmed by the higher court. ¶ ¶ 10

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THEFT/UNAUTHORISED USE IS ULTIMATELY ESTABLISHED, AND THE FATE OF THE ASSESSMENT AND CONNECTION, ONCE THE APPEAL AGAINST THE ACQUITTAL IS FINALLY DECIDED
Left to abide the outcome of the respondents' pending appeal (Criminal Misc. Appeal No. 55 of 2012); if the acquittal is affirmed by the High Court/Supreme Court, the Section 8.2 withdrawal-and-restoration would be attracted. ¶ ¶ 9-10

RELATED CASES — SEE ALSO

- SCJ-121** — *Kunwar Sarvesh Kumar Singh v. PVVNL* — the acquittal-restoration precedent under the Section 8.2 proviso, cited by the petitioner and distinguished here because the acquittal was under a pending appeal.
- SCJ-1857** — Clause 8.2 theft-assessment sibling (*Tariq v. PVVNL*).
- SCJ-227** — Clause 8.2 theft-assessment sibling (*Vijay Pal Singh v. Dakshinanchal VVNL*).
- SCJ-179** — Clause 8.2 theft-assessment sibling (*Paschimanchal Vidyut Vitaran Nigam Ltd. matter*).
- SCJ-206** — Clause 8.2 theft-assessment sibling (*Smt. Urmila Devi v. Dakshinanchal VVNL*).

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Kunwar Sarvesh Kumar Singh v. Paschimanchal Vidyut Vitran Nigam Ltd. and Others</i> (2012) 2 ADJ 509 [SCJ-121] High Court of Judicature at Allahabad	On a consumer's acquittal in a theft case, the demand/assessment made by the licensee comes to an end and the connection is to be restored.	Distinguished ¶ ¶ 7, 9	Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Gopaldas Udhavdas Ahuja and another v. Union of India and others</i> (2004) 7 SCC 33 Supreme Court of India	Cited for the effect of an acquittal on the licensee's demand/assessment and the consumer's entitlement to restoration.	Distinguished ¶ ¶ 7, 9	Petitioner	Distinguished
<i>J.M.D. Alloys Ltd. v. Bihar Electricity Board and Others</i> AIR 2003 SC 1354 Supreme Court of India	Cited by the petitioner for restoration of supply following an acquittal on the theft charge.	Distinguished ¶ ¶ 7, 9	Petitioner	Distinguished
<i>M/s Citi Hotel v. Commissioner, Lucknow Division and Others</i> AIR 2009 (All.) 137 High Court of Judicature at Allahabad	Cited by the petitioner for the proposition that an acquittal ends the licensee's demand and requires restoration.	Distinguished ¶ ¶ 7, 9	Petitioner	Distinguished

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.